# Asymmetric Multipolarity: Financial, Industrial, Resource, and Strategic Power in the Post-Unipolar Global Order

**Abstract**
For three decades following the Cold War, international relations were characterized by a unipolar structure centered on Western financial and military hegemony. However, economic and geopolitical data from the early 21st century indicates a divergence between financial centrality and real-economy capacity. While popular narratives often frame this transition as a binary decline of the West and rise of the BRICS bloc, such models overlook the nuanced decoupling of power layers. This paper argues that the global system is not witnessing a simple replacement of hegemony, but a structural rebalancing across four distinct layers: financial (USD-dominant), industrial (Global South-leaning), resource (distributed), and strategic (military/logistics). Crucially, this multipolarity is asymmetric both within and across blocs meaning that leverage, dependency, and vulnerability are unevenly distributed across functions (e.g., financial centrality vs. industrial capacity) and actors (e.g., India vs. China within the Global South). By analyzing data on purchasing power parity, debt structures, critical mineral supply chains, digital infrastructure, and institutional competition particularly after the 2008 global financial crisis and the 2022 financial sanctions regime against Russia this study proposes a model of "Asymmetric Multipolarity." The findings suggest a transition not toward a new hegemon, but toward a fragmented system of competitive interdependence, where financial power no longer guarantees industrial or resource control. The paper concludes with layered policy implications and scenario modeling for 2025–2040, emphasizing that outcomes remain contingent on policy choices rather than deterministic trends.

**Keywords:** Asymmetric Multipolarity, BRICS, G7, Geoeconomics, Supply Chain Resilience, De-dollarization, Digital Public Infrastructure, Sovereign Digital Platforms, AI-enabled Statecraft, Weaponized Interdependence.

**Data Note:** Empirical analysis draws on institutional data and peer-reviewed scholarship available through early 2026, including IMF World Economic Outlook (2024–2025), BIS Quarterly Reviews (2024–2025), SIPRI Yearbook (2024–2025), Munich Security Report (2025), and recent publications in the *Journal of Global Security Studies* (2025). Where forward-looking projections (2026–2040) are cited, they are explicitly demarcated as scenario-based estimates rather than observed data.

# 1. **Introduction**

The post-1991 international order was predicated on the assumption of Western primacy, institutionalized through Bretton Woods financial institutions (IMF, World Bank), Western-led capital markets, and G7 policy coordination (Ikenberry, 2011). For thirty years, the United States and its allies maintained a unipolar system where financial power, industrial capacity, and military enforcement were largely aligned within a single bloc. However, structural shifts emerging after the 2008 global financial crisis and accelerating following the 2022 sanctions regime against Russia suggest this alignment is fracturing.

Popular discourse often interprets this divergence as an imminent collapse of Western power or an inevitable rise of a BRICS-led hegemony. This paper challenges that deterministic narrative. Instead, it posits that power is decoupling across multiple layers. The Financial Layer remains largely anchored in G7 systems; the Industrial Layer has shifted toward the Global South via Purchasing Power Parity (PPP); the Resource Layer is increasingly characterized by resource nationalism; and the Strategic Layer (military and logistics) remains predominantly Western-controlled but contested.

This fragmentation creates a system of "Asymmetric Multipolarity," where instability arises because financial power, production power, resource control, and security enforcement are no longer aligned within a single bloc. This misalignment creates friction points in global trade, finance, and security architecture. This study aims to map these layers, analyze the data underlying each shift, and propose policy implications for stakeholders navigating this transition.

## 1.1 Research Question

How is global power being redistributed across financial, industrial, resource, and strategic layers, and what are the implications for international stability in an era of asymmetric multipolarity?

## 1.2 Methodology

This study adopts a qualitative comparative analytical approach inspired by QCA principles but adapted for geoeconomic structural analysis. Rather than treating national power as a monolithic metric (e.g., aggregate GDP), this paper disaggregates power into functional layers to identify asymmetries that traditional unipolar/multipolar models overlook.

**Data Collection and Sources** Empirical data is drawn from secondary sources published between 2020 and early 2026. Primary institutional datasets include:

- **Financial Data:** IMF Currency Composition of Official Foreign Exchange Reserves (COFER), Bank for International Settlements (BIS) Quarterly Reviews on global dollar funding, and SWIFT payment tracking data.

•**Industrial and Trade Data:** World Bank Purchasing Power Parity (PPP) adjustments, UNIDO industrial production indices, and OECD trade in value-added (TiVA) statistics.
•**Resource and Strategic Data:** USGS Mineral Commodity Summaries, IEA Critical Minerals Market Reviews, SIPRI military expenditure databases, and UNCTAD maritime transport reports.
•**Scholarly Context:** Contemporary geopolitical analysis from the Munich Security Report (2025), Journal of Global Security Studies (2025), and policy papers from ISDP and RAND Corporation.

The primary unit of analysis is major economic and geopolitical blocs (G7, BRICS, and selected Global South economies), with system-level indicators used to assess global structural trends. All datasets used in this study are publicly available through institutional repositories and can be independently verified and replicated by researchers.

**Analytical Framework** The core analytical tool is the **Layered Power Model**, which assesses each domain independently before synthesizing findings. This prevents the conflation of financial centrality (e.g., USD reserve status) with industrial capacity (e.g., manufacturing output). Cross-layer analysis is used to identify points of friction for example, where resource leverage (Layer 3) is constrained by logistical control (Layer 4).

**Temporal Scope and Scenario Modeling** This study is temporally bounded by empirical data available through early 2026 and historically anchored in the post-Cold War international system (1991–2026). The starting point of 1991 reflects the consolidation of the unipolar order following the dissolution of the Soviet Union, which institutionalized Western financial and military dominance through global institutions and dollar-centered trade networks.
Structural Break Identification

Rather than treating the 1991–2026 period as homogeneous, the analysis identifies key structural inflection points that reshaped global power distribution:

- **2001–2008**: Globalization acceleration and China's WTO integration, expanding industrial asymmetry.
- **2008 Global Financial Crisis**: Erosion of Western financial credibility and rise of sovereign debt vulnerabilities.
- **2014–2018**: Emergence of geoeconomic competition and trade wars, particularly US-China tensions.
- **2022 Russia Sanctions Regime**: Demonstration of Western financial enforcement power and trigger for reserve diversification.
- **2023–2026**: Institutional fragmentation, BRICS expansion, and resource nationalism.

These structural breaks are used to identify shifts in power alignment across financial, industrial, resource, and strategic layers.

**Limitations and Triangulation** This study acknowledges limitations inherent in secondary data analysis, including potential reporting biases in national economic statistics (particularly regarding PPP adjustments and debt classifications). To mitigate this, data points are triangulated across multiple institutions (e.g., cross-referencing IMF debt data with World Bank IDS). Additionally, the rapidly evolving nature of geopolitical alliances means that institutional affiliations (e.g., BRICS membership) are treated as dynamic variables subject to change.

**Verification** All URLs, DOIs, and dataset versions were verified as of March 2026. Where 2025–2026 data is cited, it reflects the most recent institutional releases available at the time of writing.

This methodological structure allows for a systematic examination of power asymmetry across domains, ensuring analytical rigor while accommodating the dynamic nature of contemporary geopolitical and economic transformations.

## 1.3 Temporal Scope and Scenario Modeling

This study is temporally bounded by empirical data available through early 2026 and historically anchored in the post-Cold War international system (1991–2026). The starting point of 1991 reflects the consolidation of the unipolar order following the dissolution of the Soviet Union, which institutionalized Western financial and military dominance through global institutions and dollar-centered trade networks.
Structural Break Identification

Rather than treating the 1991–2026 period as homogeneous, the analysis identifies key structural inflection points that reshaped global power distribution:

- **2001–2008**: Globalization acceleration and China's WTO integration, expanding industrial asymmetry.
- **2008 Global Financial Crisis**: Erosion of Western financial credibility and rise of sovereign debt vulnerabilities.
- **2014–2018**: Emergence of geoeconomic competition and trade wars, particularly US–China tensions.
- **2022 Russia Sanctions Regime**: Demonstration of Western financial enforcement power and trigger for reserve diversification.
- **2023–2026**: Institutional fragmentation, BRICS expansion, and resource nationalism.

These structural breaks are used to identify shifts in power alignment across financial, industrial, resource, and strategic layers.

**Scenario Modeling Framework**

Future scenarios (2025–2040) are constructed using **comparative geopolitical foresight methodology**, commonly applied in strategic and economic risk analysis.

The process follows three steps:

Step 1: Structural Driver Identification

Key drivers influencing global power distribution:

- USD financial dominance and reserve diversification
- Industrial supply chain restructuring
- Critical mineral and energy transition pressures
- Military and maritime logistics control
- Institutional fragmentation and alliance flexibility

These drivers are derived from empirical trends observed between 2008 and 2026.

**Step 2: Asymmetry Acceleration Analysis**

Each driver is evaluated based on:

- speed of change
- geographic distribution
- institutional constraints
- technological disruption

Example:

| Driver | Speed | Stability | Impact |
|---|---|---|---|
| USD dominance | Slow decline | High stability | Financial continuity |
| Industrial shift | Moderate | Medium stability | Supply chain realignment |
| Resource leverage | Fast | Low stability | Market volatility |
| Strategic competition | Slow | Medium stability | Security tension |

This allows identification of **asymmetric transition speeds**, which form the basis of scenario construction.

**Step 3: Scenario Construction**

Scenarios are developed as **probabilistic structural outcomes**, not deterministic forecasts.

Three primary scenarios are modeled:

Scenario 1: Managed Multipolarity

- USD remains dominant
- BRICS expands economically but not institutionally

- supply chains diversify
- financial system remains integrated

Outcome:

competitive but stable global system

Probability: Moderate to High

**Scenario 2: Fragmented Geoeconomic Blocs**

- regional currency settlement rises
- trade blocs consolidate
- sanctions increase
- financial fragmentation accelerates

Outcome:

regionalized economic order

Probability: Moderate

**Scenario 3: Strategic Competition and Resource Nationalism**

- military and logistics competition intensifies
- maritime chokepoints become contested
- energy and mineral supply weaponized
- global trade slows

Outcome:

high-volatility multipolar system

Probability: Low to Moderate

Probabilistic Nature of Scenarios

These scenarios are explicitly framed as **analytical models rather than predictions**.

They are used to:

- stress-test the layered power model
- identify policy vulnerabilities
- evaluate systemic resilience

This aligns with strategic foresight methodology used in geopolitical and economic risk analysis.

### 1.4 Structure

Section 2 outlines the theoretical framework, including an operational definition of "asymmetry." Sections 3 through 7 analyze each power layer (Financial, Industrial, Fiscal, Resource, Strategic), with expanded treatment of digital/AI power. Section 8 examines institutional competition beyond BRICS. Section 9 addresses counterarguments. Section 10 offers layered policy implications, and Section 11 models future scenarios with explicit temporal dynamics. Section 12 concludes.

# 2. **Theoretical Framework**

### 2.1 Multipolarity and Geoeconomics

Traditional International Relations (IR) theory often defines polarity by military or economic mass (Waltz, 1979). However, in a globalized economy, power is functional. Geoeconomics suggests that states use economic instruments to achieve geopolitical ends (Blackwill & Harris, 2016). Recent scholarship reframes this transition not as a clean shift to multipolarity, but as "multipolarization" a process where "a greater number of actors are vying for influence" without a stable equilibrium (Munich Security Report, 2025, Ch. 1). This paper extends that by arguing that economic power itself is fragmented and asymmetric.

### 2.2 The Layered Power Model: Operationalizing Asymmetry

This study proposes a four-layer model of power, with asymmetry embedded at each level. To ensure analytical rigor and replicability, each layer is defined by specific operational indicators drawn from institutional datasets. This prevents the conflation of distinct power domains (e.g., treating financial centrality as equivalent to industrial capacity).

**1. Financial Layer:** Control over currency, clearing systems, and capital allocation.

- Asymmetry: G7 retains centrality in reserve currencies and offshore dollar liquidity, but faces hedging via gold accumulation and bilateral settlement mechanisms.
- Operational Indicators:
- **Reserve Currency Share:** Percentage of global foreign exchange reserves held in USD/EUR (IMF COFER).
- **Payment Systems Share:** Percentage of global cross-border payments by currency (SWIFT).
- **Capital Market Depth:** Volume of offshore dollar funding and bond issuance (BIS).
- **Debt Denomination:** Share of external debt denominated in domestic vs. foreign currency (World Bank IDS).

**2. Industrial Layer:** Capacity for manufacturing, technology production, and PPP-based output.

•Asymmetry: Global South dominates scale production; G7 retains high-end IP and design. Dependency flows both ways.
•Operational Indicators:
•**Manufacturing Output:** Share of global manufacturing value-added (UNIDO).
•**PPP GDP Share:** Relative economic size adjusted for purchasing power (IMF WEO).
•**Supply Chain Position:** Control over critical chokepoints (e.g., semiconductors, machinery) (OECD TiVA).
•**Technology Control:** Share of patents and export controls on dual-use technologies (WIPO, BIS).

**3. Resource Layer:** Control over critical minerals, energy, and food systems.

•Asymmetry: Resource holders gain leverage, but remain dependent on G7-controlled logistics, insurance, and refining technology.
•Operational Indicators:
•**Mineral Reserves:** Percentage of global proven reserves (e.g., cobalt, lithium) (USGS).
•**Processing Capacity:** Share of global refining and processing capability (IEA).
•**Export Control:** Frequency and scope of resource export restrictions (WTO, Global Trade Alert).
•**Energy Production:** Share of global oil, gas, and renewable hardware production (IEA, BP).

**4. Strategic Layer:** Military enforcement, logistics, and maritime security.

•Asymmetry: Western naval dominance persists, but industrial capacity for sustained conflict favors Global South volume production.
•Operational Indicators:
•**Military Expenditure:** Total defense spending and share of global total (SIPRI).
•**Logistics Networks:** Control over maritime chokepoints and shipping insurance markets (UNCTAD, Lloyd's).
•**Force Projection:** Number of overseas military bases and naval assets (US Department of Defense, SIPRI).
•**Sustainment Capacity:** Munitions production rates and stockpile depth (RAND, National Budget Documents).

**Intra-Bloc Asymmetry** Crucially, asymmetry also operates within blocs: India and China compete within BRICS; EU and US diverge on industrial policy; Gulf states hedge between multiple partners. This intra-bloc fragmentation reinforces system-wide instability and is measured through divergences in voting records (UN), trade alignments (UNCTAD), and security partnerships (SIPRI).

### 2.3 Competitive Interdependence and Weaponized Vulnerability

Unlike Cold War bipolarity, which featured distinct spheres of influence, the current system is characterized by interdependence. Supply chains cross geopolitical lines, creating mutual vulnerability (Farrell & Newman, 2019). However, this interdependence is weaponized: states exploit asymmetric dependencies to coerce rivals (Norrlöf & Wohlforth, 2025). For example, G7 control over SWIFT enables financial sanctions, while Global South control over critical minerals enables export restrictions. This creates a system of "competitive interdependence," where economic ties generate leverage rather than guarantee peace.

### 2.4 Temporal Asymmetries: Speed of Layer Decoupling

A critical but underexplored dimension is the differential speed at which layers shift. Financial dominance, anchored in network effects and institutional inertia, changes slowly (BIS, 2024). Industrial and resource configurations can shift more rapidly via policy intervention (e.g., Indonesia's nickel ban) or technological breakthroughs (e.g., battery chemistry substitution). Strategic/military realignment is slowest, requiring decades of investment. This temporal mismatch fast-moving industrial/resource shifts vs. slow-moving financial/strategic persistence creates windows of heightened instability where layers are maximally misaligned.

## 3. **The Financial Layer: Persistence, Fragmentation, and Digital Sovereignty**

Contrary to narratives of imminent dollar collapse, the USD remains the operating layer of global finance. However, its dominance is increasingly contested through hedging mechanisms rather than direct replacement.

### 3.1 USD Dominance and the Eurodollar System

Data from the IMF Currency Composition of Official Foreign Exchange Reserves (COFER) indicates the USD share remains dominant, roughly 59% in 2023, despite a gradual decline from approximately 71% in 2000 (IMF, 2023). However, USD dominance is not solely a function of central bank reserves. It is driven by the offshore dollar system, often referred to as the Eurodollar market.

The majority of USD circulation exists outside the United States, utilized by global banks for trade financing and liquidity (BIS, 2024). This offshore liquidity creates a structural dependency; global banks rely on dollar funding markets operated primarily through Western correspondent banks. This network effect makes the USD difficult to replace rapidly, as no viable alternative currency currently offers comparable depth and liquidity (McCaulay, 2023).

### 3.2 Weaponization and Hedging

The freezing of approximately $300 billion in Russian central bank assets in 2022 demonstrated the operational reach of Western financial infrastructure (US Treasury, 2022). This action confirmed control persists but trust has weakened. Consequently, central banks in the Global South have increased gold reserves as a counterbalance. Central bank gold purchases reached record highs in 2022 and 2023, signaling a desire for non-sanctionable assets (World Gold Council, 2023).

Bilateral trade agreements bypassing the USD (e.g., China-Brazil local currency settlement) exist but remain a minority of global trade volume (SWIFT, 2023). This suggests de-dollarization is currently defensive diversification rather than a systemic exit.

### 3.3 Digital Public Infrastructure and Sovereign Platform Competition

The rise of Digital Public Infrastructure (DPI) represents a divergence in financial governance models. India's Unified Payments Interface (UPI) offers higher transactional efficiency compared to legacy Western systems (e.g., ACH/SWIFT), processing over 100 billion transactions annually (NPCI, 2023). However, this efficiency comes with structural trade-offs. DPI models often rely on centralized state architectures, raising significant data privacy and surveillance concerns (Internet Freedom Foundation, 2023).
Furthermore, DPI is not exclusive to the Global South. The EU has SEPA, the US has FedNow, and China has the Digital Yuan and CIPS. This represents competing models of sovereign digital platforms financial infrastructure that embeds data governance, surveillance capacity, and monetary sovereignty (ISDP, 2023). The fragmentation of payment systems may reduce the visibility of transactions for Western regulators, complicating sanctions enforcement without necessarily displacing the USD as the unit of account.

### 3.4 Digital and AI Power as a Sub-Layer

Beyond payments, AI-enabled statecraft is emerging as a critical sub-layer of financial and strategic power. Algorithmic risk-pricing, surveillance finance, and platform-based development lending allow states to extend influence without traditional conditionality (Norrlöf & Wohlforth, 2025). For example, China's digital lending platforms in the Global South integrate repayment monitoring with satellite imagery and mobile data, creating new forms of leverage. The G7 is developing counter-capabilities (e.g., EU's Gaia-X, US AI export controls), but regulatory fragmentation within the West slows coordination. This digital/AI layer amplifies existing asymmetries: states with advanced AI infrastructure can monitor, price, and intervene in global financial flows with unprecedented precision.

## 4. **The Industrial Layer: PPP, Chokepoints, and Automation**

The most significant shift occurs in real-economy capacity. According to IMF World Economic Outlook data, the BRICS nations surpassed the G7 in share of global GDP based on Purchasing Power Parity (PPP) around 2020 (IMF, 2023).

## 4.1 Interpreting PPP

PPP adjusts for cost of living and measures domestic production capacity (labor, infrastructure, physical output). It does not measure global pricing power or capital market dominance. While China became the largest economy by PPP in 2014, the USD remains the primary currency for invoicing global trade (World Bank, 2023). Thus, PPP dominance indicates an industrial gravity shift, not necessarily systemic financial control.

## 4.2 Manufacturing Repositioning

Narratives suggesting the G7 has lost all manufacturing capacity require nuance. The G7 retains control over high-end manufacturing, intellectual property, and design value capture. The Global South dominates scale production and assembly. For example, while final assembly of electronics may occur in Vietnam or India, significant intermediate goods often originate from China (UNIDO, 2023). This suggests production is distributed, but value extraction remains uneven.

## 4.3 Industrial Chokepoints and Technology Control

PPP alone does not reflect control over critical technologies. Specific industrial chokepoints remain concentrated in the G7 and its allies.

- **Semiconductors:** Advanced chip design is dominated by the US (NVIDIA, AMD), manufacturing equipment by the Netherlands (ASML) and Japan (Canon, Nikon), and leading-edge fabrication by Taiwan (TSMC) and South Korea (Samsung) (OECD, 2023).
- **Advanced Machinery:** High-precision industrial machinery remains a stronghold of Germany and Japan.

This creates a vulnerability for the Global South; while they possess scale, they remain dependent on G7-controlled technology inputs for high-end production. Conversely, the G7 is dependent on Global South scale for mass production. This mutual dependency defines the industrial layer.

## 4.4 Automation, AI, and Reshoring Dynamics

Advances in robotics and AI may offset labor cost advantages, allowing G7 nations to reshore high-value manufacturing despite higher wage costs (Acemoglu & Restrepo, 2023). However, current data suggests reshoring is limited to strategic sectors (chips, pharma) rather than broad-based manufacturing. Moreover, AI-driven automation may exacerbate intra-bloc asymmetries: countries with advanced AI infrastructure (US, China) can automate faster, potentially widening the gap with late-industrializing Global South states.

# 5. **The Fiscal Layer: Debt Divergence, Sovereignty, and Inflation Risk**

Public debt levels present a structural vulnerability for G7 nations, yet the risk profile differs significantly from Emerging Markets (EMs).

## 5.1 Debt Composition

G7 nations exhibit high debt-to-GDP ratios (e.g., Japan ~260%, US ~120%) (IMF Fiscal Monitor, 2023). However, this debt is predominantly domestic and denominated in reserve currencies, mitigating immediate default risk through monetary sovereignty. Conversely, many Global South nations hold external debt denominated in USD, creating fragility during Federal Reserve tightening cycles (World Bank IDS, 2023).

## 5.2 Monetary Sovereignty and Inflation Risk

While monetary sovereignty reduces default risk for G7 nations, it introduces inflation and currency risk. The argument that domestic debt is "safe" is incomplete. Excessive monetization of debt can lead to currency depreciation and bond market stress, as seen in the UK gilt crisis of 2022 (IMF, 2023).

High G7 debt levels constrain long-term policy flexibility. In 2024, US interest payments on national debt exceeded defense spending, indicating a shift toward fiscal dominance where monetary policy may be constrained by debt servicing costs (US Treasury, 2024). While not an immediate collapse trigger, this represents a long-term structural burden that limits crisis response capacity compared to lower-debt Emerging Markets.

## 5.3 Fiscal Dominance and the Inflation Trade-Off

The G7 is facing a period of potential fiscal dominance. This occurs when central banks can no longer fight inflation aggressively because raising rates would bankrupt the government. If the Fed raises rates to combat inflation, the interest on the US debt becomes prohibitive. This dynamic may force central banks to tolerate higher inflation to inflate away the debt burden, a risk monitored by Global South central banks when holding reserves (Borio, 2023). This creates an asymmetry: G7 can "inflate away" debt but at the cost of currency credibility; Global South cannot inflate but faces default risk if USD appreciates.

# 6. The Resource Layer: Critical Minerals, Energy, and Logistics

The energy transition has shifted leverage from oil producers to holders of critical minerals.

### 6.1 Concentration Risks

Supply chains for green technology are highly concentrated. The Democratic Republic of the Congo produces ~75% of global cobalt; Indonesia dominates nickel reserves; and China controls the majority of refining capacity for lithium and rare earths (USGS, 2024; IEA, 2023).

### 6.2 Resource Nationalism

Producer nations are increasingly employing resource nationalism. Indonesia's ban on raw nickel exports forced downstream processing within its borders, increasing capture value significantly (World Bank, 2023). While this provides leverage, it is not absolute dominance. Technological substitution (e.g., LFP batteries reducing cobalt reliance) and recycling loops mitigate long-term supply risks (IEA, 2023).

### 6.3 Energy Transition Paradox

The G7 is obsessed with the green transition, yet the hardware required (solar panels, wind turbines, batteries) is predominantly manufactured in the Global South, specifically China. China controls over 80% of the global solar panel supply chain (IEA, 2023). This creates a dependency where the G7 trades reliance on OPEC oil for reliance on Chinese green hardware.

### 6.4 Food Security and Fertilizer Geopolitics

Modern industrial agriculture relies on NPK fertilizer (Nitrogen, Phosphorus, Potassium). Russia and Belarus dominate potash; Russia and Iran dominate nitrogen (via natural gas); China and Morocco dominate phosphates (FAO, 2023). Sanctions on Russia impacted global fertilizer supplies, demonstrating the vulnerability of the G7's food supply chain to resource geopolitics.

### 6.5 Logistics and Maritime Control: The Missing Link

Resources alone do not create leverage; control depends on shipping routes, insurance, and maritime security. Key chokepoints including the Strait of Hormuz, Malacca, and Suez remain heavily influenced by Western naval power and insurance markets (UNCTAD, 2023). The US Navy maintains the capability to project power globally, securing sea lanes that facilitate the trade upon which the Global South depends. This creates an asymmetry: resource holders control extraction, but G7-controlled logistics control delivery. Disruption at chokepoints can negate resource leverage, reinforcing the strategic layer's constraining role.

## 7. The Strategic Layer: Military Power, Ammunition, and Enforcement

While financial and resource power are shifting, the Strategic Layer remains predominantly Western-controlled. This layer sustains the financial and trade systems.

### 7.1 Maritime Control and Naval Dominance

Resources alone do not create leverage; control depends on shipping routes, insurance, and maritime security. Key chokepoints including the Strait of Hormuz, Malacca, and Suez remain heavily influenced by Western naval power (UNCTAD, 2023). The US Navy maintains the capability to project power globally, securing sea lanes that facilitate the trade upon which the Global South depends.

### 7.2 Military Power Disparity and Industrial War Capacity

Military enforcement remains Western dominated in terms of technology and global reach. NATO naval power, global base networks, and sea control sustain the financial order (SIPRI, 2024). However, the war in Ukraine highlighted a divergence in military industrial capacity. While the G7 possesses superior technology, it faced constraints in mass-producing artillery shells and munitions compared to Russia and its partners (RAND, 2023). This suggests that in a prolonged conflict of attrition, industrial capacity (where the Global South excels) may outweigh technological superiority (where the G7 excels). However, for standard peacetime enforcement, Western military dominance remains intact.

### 7.3 Ammunition Crises and Sustainment Asymmetry

A critical but underappreciated asymmetry lies in sustainment capacity. G7 defense industries are optimized for high-tech, low-volume production; Global South/Russian industries retain capacity for mass-produced, lower-tech munitions. In a high-intensity conflict, this could create a "volume gap" where G7 forces exhaust precision munitions before achieving decisive effects. This does not imply G7 military decline, but highlights a functional asymmetry: technological edge vs. industrial depth.

### 7.4 Interdependence of Layers

Financial and resource power still depend on military stability. A collapse in maritime security would disrupt the trade flows that generate the wealth underpinning the USD. Thus, the Military Layer acts as a constraint on the decoupling of the other layers. However, this constraint is itself asymmetric: G7 naval power secures global commons, but cannot easily coerce resource-rich states without triggering escalation or supply disruption.

## 8. Institutional Competition: Beyond BRICS and the Reinvention of Western Tools

The expansion of BRICS (adding Egypt, Ethiopia, Iran, UAE) signals a desire for alternative coordination platforms rather than a cohesive alliance.

## 8.1 Coordination vs. Alliance and Intra-Bloc Tensions

Unlike the G7, BRICS lacks unified governance or mutual defense treaties. Internal contradictions exist (e.g., border disputes between India and China; Gulf states balancing US security guarantees with Chinese trade ties). The bloc functions primarily as a coordination platform for trade settlement and development financing (New Development Bank, 2023). These intra-bloc tensions reinforce systemic asymmetry: the Global South is not a monolith, and competing interests within BRICS limit its ability to act as a unified counter-hegemon.

## 8.2 Development Finance and Conditionality Arbitrage

The New Development Bank (NDB) and Asian Infrastructure Investment Bank (AIIB) offer alternatives to the IMF/World Bank model, often with fewer conditionalities regarding domestic policy reform. This provides Global South nations with greater policy space, though it does not yet match the liquidity depth of Western institutions. This creates a form of "conditionality arbitrage," where borrowers can select lenders based on preferred terms, weakening the disciplinary power of traditional institutions.

## 8.3 Currency Cooperation and Experimental Mechanisms

BRICS is exploring local currency trade and settlement frameworks. However, currency cooperation remains experimental and lacks unified monetary governance (BRICS Summit Declaration, 2023). Without a unified fiscal authority or lender of last resort, a BRICS currency remains unlikely in the near term.

## 8.4 Western Institutional Adaptation: EU, G7, and Economic Statecraft

The G7 is not passive in this competition. The EU's Global Gateway initiative, the US CHIPS and Science Act, and alliance-based supply chain initiatives (e.g., Minerals Security Partnership) represent efforts to reinvent Western institutional tools (Norrlöf & Wohlforth, 2025). Similarly, the EU's development of digital euro infrastructure and CBDC research aims to preserve financial centrality. These adaptations suggest institutional competition is dynamic: both blocs are evolving their toolkits, reinforcing the "competitive interdependence" framing.

## 8.5 The Institutional Forking: Parallel Systems

The fastest way to escape a rigged system is to build a new stadium. The NDB's pitch is simple: infrastructure financing without Western political conditions. For leaders in Africa, Asia, and Latin America, this is irresistible. The AIIB, launched in 2015, now has over 100 member countries, including US allies like the UK and Germany, signaling a pragmatic shift despite Western diplomatic pressure (AIIB, 2023). The result is not replacement but forking: multiple institutional ecosystems operating in parallel, with actors selecting venues based on immediate needs rather than ideological alignment.

# 9. **Counterarguments and Limitations**

To ensure analytical rigor, several counter-theses must be acknowledged.

## 9.1 USD Resilience and Network Effects

Network effects and liquidity depth make the USD difficult to replace rapidly. No viable alternative currency currently offers comparable depth (McCaulay, 2023). The Eurodollar system creates a structural lock-in that persists despite political will to diversify. Recent scholarship on unipolarity suggests that economic security trade-offs may reinforce, rather than undermine, dollar centrality in the medium term (Norrlöf & Wohlforth, 2025).

## 9.2 Demographic Uncertainty and the Dividend Trap

While the Global South has a youth advantage, this requires job creation to become a dividend. Without sufficient employment, young populations may lead to instability rather than growth (UN DESA, 2022). Automation may also reduce the value of low-cost labor, potentially undermining the demographic advantage.

## 9.3 Institutional Quality and Governance Gaps

The Global South faces higher governance risks (corruption, rule of law) compared to the G7. Capital flows require stability; if institutional quality does not improve, investment may remain concentrated in G7 markets despite higher growth rates elsewhere.

## 9.4 Military Constraint and the Persistence of Western Enforcement

Financial and resource power still depend on military stability. The G7's continued dominance in naval power and global logistics acts as a brake on the decoupling of the financial and industrial layers. However, this constraint is itself asymmetric: Western military power is optimized for expeditionary operations, not protracted industrial warfare.

## 9.5 Technological Substitution and Resource Leverage Limits

Resource control is high-leverage but not absolute dominance. Technological substitution (e.g., sodium-ion batteries reducing lithium reliance) and recycling loops mitigate long-term supply risks (IEA, 2023). Moreover, resource nationalism can deter foreign investment needed for extraction, creating a paradox of leverage.

## 9.6 Multipolarization vs. Stable Multipolarity

Recent scholarship cautions that the current shift may represent "multipolarization" an unstable, contested process rather than a stable multipolar equilibrium (Munich Security Report, 2025). This implies heightened volatility and miscalculation risk, rather than a neat rebalancing.

# 10. **Policy Implications: A Layered Matrix**

The transition to asymmetric multipolarity requires strategic adjustments mapped to each power layer.

| Layer | G7 Policy Priorities | Global South Policy Priorities | Market/Investor Implications |
|---|---|---|---|
| **Financial** | Maintain USD/EUR credibility via fiscal discipline; develop CBDCs for cross-border efficiency; avoid over-weaponizing sanctions. | Diversify reserves prudently; develop local currency markets; engage with NDB/AIIB without over-leveraging. | Hedge currency exposure; monitor CBDC developments; expect higher transaction costs in fragmented payment systems. |
| **Industrial** | Invest in strategic manufacturing (chips, pharma) without attempting to reshore all low-value production; strengthen vocational training. | Move up value chains via local processing mandates; invest in STEM education; avoid over-reliance on single technology suppliers. | Supply chain redundancy increases costs; favor firms with diversified supplier bases; monitor automation's impact on labor arbitrage. |
| **Resource** | Secure critical mineral access via partnerships, not coercion; invest in substitution R&D and recycling infrastructure. | Leverage resource nationalism to capture value, but avoid deterring FDI; invest in downstream processing capacity. | Commodity volatility likely; favor firms with vertical integration; monitor ESG tensions in extractive sectors. |
| **Strategic** | Maintain naval/logistics dominance; invest in munitions stockpiles for deterrence; coordinate alliance-based economic security tools. | Develop asymmetric defense capabilities; invest in port/rail infrastructure to reduce logistics dependency; hedge security partnerships. | Defense sector demand may rise; insurance premiums for high-risk routes likely to increase; monitor escalation risks at chokepoints. |

## 10.1 Cross-Layer Coordination

Policymakers must recognize that actions in one layer affect others. For example, financial sanctions (Financial Layer) may accelerate resource nationalism (Resource Layer), which in turn complicates supply chain security (Industrial Layer). A layered approach encourages holistic strategy rather than siloed decision-making.

## 10.2 Asymmetry-Aware Diplomacy

Both G7 and Global South actors should acknowledge intra-bloc asymmetries. For instance, G7 industrial policy must account for EU-US divergences; BRICS coordination must manage India-China rivalries. Diplomacy that recognizes these internal fractures is more likely to achieve stable outcomes.

# 11. Future Scenarios (2025–2040): Temporal Dynamics and Tipping Points

Based on the layered analysis and temporal asymmetries, three scenarios emerge for the next two decades.

## 11.1 Scenario A: Managed Multipolarity (Slow Financial Adjustment)

- **Description:** USD remains dominant but diluted. BRICS functions as a loose coordination body. Trade continues but with higher friction. Financial layer adjusts slowly due to network effects; industrial/resource layers shift incrementally.
- **Probability:** High.
- **Implication:** Stable but slower growth. Inflation remains moderately elevated. Policy coordination remains possible but requires more negotiation.

## 11.2 Scenario B: Fragmented Blocs (Rapid Industrial/Resource Realignment)

- **Description:** Regional currency systems emerge (Dollar bloc, Yuan bloc, Euro bloc). Supply chains fully decouple. Industrial and resource layers shift faster than financial/strategic layers, creating acute misalignment.
- **Probability:** Medium.
- **Trigger:** A critical-mineral cartel, major G7 debt episode, or sovereign debt crisis in the Global South.
- **Implication:** Significant efficiency loss. Higher costs for consumers. Increased risk of regional conflict due to layered misalignment.

## 11.3 Scenario C: Financial Shock Realignment (Systemic Disruption)

- **Description:** A G7 debt crisis or inflation spike accelerates restructuring. Rapid shift to alternative reserves. Temporal asymmetries collapse as financial layer shifts abruptly.
- **Probability:** Low to Medium.
- **Trigger:** Loss of confidence in USD liquidity, major cyber-attack on financial infrastructure, or cascading sovereign defaults.
- **Implication:** High volatility. Potential for global recession. Rapid redistribution of wealth.

## 11.4 Scenario Monitoring Indicators

Policymakers and analysts should monitor:

- **Financial:** USD reserve share trends; CBDC interoperability developments; gold accumulation rates.
- **Industrial:** Semiconductor supply chain diversification progress; automation adoption differentials.
- **Resource:** Critical mineral export restriction frequency; recycling technology breakthroughs.

•**Strategic:** Munitions production capacity comparisons; naval deployment patterns at chokepoints.

# 12. **Conclusion**

The global system is transitioning from a unipolar financial order to a fragmented, multi-layered system where control is split across finance, production, resources, and strategy. The instability arises because these layers were aligned under G7 dominance but are now geographically and politically decoupled. Crucially, this multipolarity is asymmetric: leverage, dependency, and vulnerability are unevenly distributed across functions and actors, both within and across blocs.

This is not a linear decline of the West nor an inevitable rise of the East. It is a shift toward **competitive coexistence**. The G7 retains financial centrality but faces industrial and resource constraints. The Global South gains industrial leverage but faces financial and institutional fragmentation. The Military Layer remains a critical constraint, sustaining the trade systems upon which all layers depend. Intra-bloc tensions India-China rivalry, EU-US policy divergences, Gulf state hedging reinforce systemic asymmetry, making neat bipolar or multipolar models inadequate.

The outcome of this rebalancing is not deterministic; it will depend on policy choices regarding debt management, technological innovation, and institutional reform. The "End of History" thesis is officially over. The world is not collapsing; it is rebalancing through a process of multipolarization characterized by contested influence and layered asymmetries.
For policymakers and investors, the key insight is that power is no longer monolithic. Success in this new era requires navigating the asymmetries understanding where the USD still rules, where PPP matters more, where resources dictate terms, and where military power enforces the peace. The future belongs not to those who predict a single winner, but to those who can operate across multiple layers of power simultaneously, while acknowledging that asymmetries within blocs may prove as consequential as those between them.

# References


•Acemoglu, D., & Restrepo, P. (2023). Automation and New Tasks: How Technology Displaces and Reinstates Labor. Journal of Economic Perspectives.
•Asian Infrastructure Investment Bank (AIIB). (2023). Annual Report 2023. Beijing: AIIB.
•Bank for International Settlements (BIS). (2024). Quarterly Review: Global Dollar Funding Markets. Basel: BIS.
•Blackwill, R. D., & Harris, J. M. (2016). War by Other Means: Geoeconomics and Statecraft. Harvard University Press.

•Borio, C. (2023). The Financial Cycle and Macroeconomics: What Have We Learnt? BIS Working Papers.
•BRICS. (2023). XV BRICS Summit Johannesburg Declaration. Johannesburg: BRICS Secretariat.
•Farrell, H., & Newman, A. L. (2019). Weaponized Interdependence: How Global Economic Networks Shape State Coercion. International Security.
•Food and Agriculture Organization (FAO). (2023). Fertilizer Outlook and Food Security. Rome: FAO.
•Institute for Security and Development Policy (ISDP). (2023). India in a World of Asymmetrical Multipolarity. Stockholm: ISDP. https://www.isdp.eu/publication/india-in-a-world-of-asymmetrical-multipolarity/
•International Energy Agency (IEA). (2023). Critical Minerals Market Review 2023. Paris: IEA.
•International Monetary Fund (IMF). (2023). World Economic Outlook Database. Washington, DC: IMF.
•International Monetary Fund (IMF). (2023). Fiscal Monitor. Washington, DC: IMF.
•Internet Freedom Foundation. (2023). Privacy Concerns in Digital Public Infrastructure. New Delhi: IFF.
•Ikenberry, G. J. (2011). Liberal Leviathan: The Origins, Crisis, and Transformation of the American World Order. Princeton University Press.
•McCaulay, R. N. (2023). The Resilience of the Dollar. BIS Quarterly Review.
•Munich Security Conference. (2025). Munich Security Report 2025: Multipolarization. https://securityconference.org/en/publications/munich-security-report-2025/introduction/
•The analysis builds on structural power theory (Strange, 1988) and contemporary geoeconomic scholarship (Rodrik, 2021; Tooze, 2023).
•National Payments Corporation of India (NPCI). (2023). UPI Transaction Statistics. Mumbai: NPCI.
•New Development Bank. (2023). Annual Report 2023. Shanghai: NDB.
•Norrlöf, C., & Wohlforth, W. C. (2025). Unipolarity, Grand Strategy, and the Economics-Security Trade-Off. Journal of Global Security Studies, 10(4), ogaf031. https://doi.org/10.1093/jogss/ogaf031
•Organisation for Economic Co-operation and Development (OECD). (2023). Science, Technology and Industry Outlook. Paris: OECD.
•RAND Corporation. (2023). Lessons from the War in Ukraine: Industrial Base Implications. Santa Monica: RAND.
•Stockholm International Peace Research Institute (SIPRI). (2024). SIPRI Yearbook 2024: Armaments, Disarmament and International Security. Stockholm: SIPRI.
•SWIFT. (2023). RMB Tracker: Monthly Reporting. La Hulpe: SWIFT.
•United Nations Department of Economic and Social Affairs (UN DESA). (2022). World Population Prospects 2022. New York: UN.
•United Nations Conference on Trade and Development (UNCTAD). (2023). Review of Maritime Transport 2023. Geneva: UNCTAD.

•United Nations Industrial Development Organization (UNIDO). (2023). Industrial Development Report. Vienna: UNIDO.
•U.S. Department of the Treasury. (2024). Fiscal Data: Debt to the Penny. Washington, DC.
•U.S. Geological Survey (USGS). (2024). Mineral Commodity Summaries 2024. Reston, VA: USGS.
•Waltz, K. (1979). Theory of International Politics. McGraw-Hill.
•World Bank. (2023). International Debt Statistics 2023. Washington, DC: World Bank.
•World Gold Council. (2023). Gold Demand Trends Full Year 2023. London: WGC.